Can Export-Led Growth Continue Indefinitely? An Asia–Pacific Perspective

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Many third-world countries would like to emulate Japan and develop in the remarkable way that Japan did after the 1950s. And since there are "new Japans," there is every reason to believe that it is possible for others to follow the same route. It might be a desire to become another South Korea or Taiwan that propels aspiring countries along a certain growth and development path.

In this paper first I outline some of the most important features of Japanese and "new Japanese" development. In scholarly conferences over these many years, there are different perspectives suggested by experts. Some stress dualism, clever currency management, monetary policy, wage flexibility, and even Confucianism. I am not going to quarrel with these various interpretations of successful development, but I focus on specific aspects that have caught my attention over the past 30 years of watching and studying the Japanese and other Asian economies: (1) quantity manufacturing, (2) quality manufacturing, and (3) Export-led growth in quality manufacturing.

Japan and other Asian countries that have achieved economic success did not do so through a concentration on large-scale production of basic materials and exporting the surplus to industrial nations round the world. Japan could not, in fact, have found the basic materials to produce and export. Japan is a large-scale importer of fuels, cotton, wool, grains, and many other basic commodities for its industrial machine.

Taiwan relied on land reform, food production, exportation of sugar, pineapple, and other primary commodities, but did not achieve its phenomenal success until they shifted to large quantity manufacturing.

My line of argument does not draw only upon Asia–Pacific experience. Brazil used to rely heavily on exports of coffee and other basic materials for economic

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well-being, but Brazil became a country that attracted economic notice round the world when it shifted to manufacturing exports in the 1960s.

Some oil-rich countries can go far in being simply a crude oil exporter. This did not produce unusual economic well-being before 1973, and more recent gains may not last indefinitely. Some large-scale oil exporters have already had grave economic troubles—Mexico, Indonesia, Nigeria, Ecuador, and Venezuela, to mention a few. And some of the more successful oil exporting countries are seeking economic insurance by developing refining, petrochemical products, and other industrial processes that are closely related to their valuable resource.

I think that it is clear that large-scale manufacturing transports a country to an advanced stage of economic development, and only in extraordinary cases will it be possible for countries to make the best economic advancement through a concentration on primary commodity markets. Manufacturing production and some (sophisticated) services must be producted in quantities large enough for export in order for the country to become an economy that will deliver a high standard of living for its citizens.

In a conference in Kuala Lumpur a few years ago, a Malaysian economist remarked, half-jokingly, that they would prosper by becoming the main supplier of condoms to the world. This would represent manufacturing on a scale that produces an exportable surplus derived from Malaysian raw material supplies, but it represents poorly diversified, low-to-moderate "tech" manufacturing, which cannot serve as a copy of the Japanese growth model. Even the subsequent explosion of the AIDS epidemic could not provide enough economic activity to form an industrial base for Malaysia in such a narrow line of production. Even an extension to production of rubber tires for vehicles would not be enough.

Japan got a start with manufacturing production of textiles, apparel, optical goods, electronic goods, transportation equipment, finished steel, and many other, widely varying products. When Japan shifted to higher and higher levels of technology, South Korea, Taiwan, Singapore, and Hong Kong (the "new Japans") filled the gap by producing the low-to-moderate "tech" goods for export in addition to home use.

A remarkable aspect of Japan's ascendancy was the shift from mainstream large-scale manufacturing to large-scale, high *quality* manufacturing. Before the Second World War, and even before the take-off period at the beginning of the 1960s, Japanese quality in manufacturing was often inferior except for some classical goods, such as silk and other textile products. Japan was noted as a manufacturer of inexpensive toys. When I was a student, Japanese slide rules were generally inferior to German and American makes, but much cheaper. There was a time when American cars had a decided edge on Japanese cars, particularly in terms of quality.

In the reconstruction era, Japan shifted towards quality. Cameras were excellent at an early stage, as were many electronic products, but foreign assistance was often evident.

The Japanese car was built for rough treatment on Asian roads. Roads themselves (in Japan) were poor or nonexistent, but were soon brought to Western standards and far beyond. Cars that could start and function in severe cold or stormy weather, that could cruise on turnpikes, that could readily be serviced from international parts networks, and that had excellent length of life became the standards.

Highly visible, or even dominant, imported products in China's first decade of openness have been cars, scientific equipment (e.g., electron microscopes), some computers, and such low-to-medium tech goods as watches, cameras, transistor products, often from Japan.

Now we associate quality with practically all Japanese goods. The "new Japans" followed a similar path. They, too, have moved from low to high quality manufacturing output. At the top of the scale, say in the realm of supercomputers or the search for superconductivity, Japan appears to be far ahead of the "new Japans," but for the production of the goods on which Japan leaped forward, the "new Japans" are equally good suppliers. When it comes to human capital, however, residents from the "new Japans" have demonstrated equally strong brain power fueled by a formidable work ethic. It is possible, therefore, that the next generation of fast growing countries can "leap-frog" Japan, at least in certain product lines.

Quantity and quality manufacturing have not spread everywhere, but they are becoming more and more available throughout the world. A few countries have excelled in primary production and benefited greatly in terms of economic growth. These are:

Denmark	High quality agricultural output (dairy, pork)
Netherlands	High quality agricultural output (dairy, vegetables, flowers)
New Zealand	High quality agricultural output (wool, lamb products, dairy)
Australia	High quality agricultural output (grains, wool, lamb products, beef products), minerals, fuel

There are other cases too, but it is important to emphasize that all these primary producing countries are also important in manufacturing, shipping, and finance. They are advanced nations, but they did not rely exclusively on primary production to attain their high standards of living.

Developing countries can aspire to rapid growth and elevated status among advanced countries, but they will not be able to do this on the basis of primary production alone (Klein, 1987). The countries that stand good chances of being reclassified from developing to developed (Taiwan, South Korea, Brazil) during this century have solid manufacturing bases that are strong enough to produce growth that is the envy of the rest of the world.

Given that material success among the community of nations requires quantity production of high quality in manufacturing, assisted by service output (shipping

and finance) and primary production, where are the markets that can absorb this potential growth in output?

In the Japanese case, which serves as a paradigm, growth appears to have been export-led, which raises questions about how to distinguish between the *handmaiden* of growth and the *engine* of growth. Kravis (1970) challenged this point; my view is the conventional one; that trade is the engine of growth. This brings us to the heart of the present paper. Can Japan and the "new Japans" continue to export at a high rate, unbalanced in favor of large surpluses in the exporting countries? To a large extent, the United States has been the main target/recipient of strong export expansions by the Asia–Pacific countries, starting with Japan. In general, these countries have shifted from import surplus to export surplus and prospered; they have gained greatly from the relatively open American market.

The large American deficit is spread all over the world, but several Far Eastern surpluses have benefited greatly in supporting export-led growth in their home market expansion. These Far Eastern countries were not always in surplus, so it is only reasonable to inquire whether their present positions are only temporary because of cyclical or other short-run phenomena.

There are good reasons to believe that the receptivity of the American market for international goods and services is about to change, on a gradual basis, and that the European market may also change. The easy path to the continuing export-led growth may be changing into a more difficult path, and opportunities may be developing elsewhere.

The propensity to import has not fundamentally changed in the United States; it is the same, receptive market that it always has been. This propensity defines an import relationship or an entire set of relationships, which constitute the propensity to import; the issue is that input values for these relationships may have changed. The same may be said of exports, but they are more subject to control and influence from abroad.

The most important changed input, either for the propensity to import or to export, is the exchange value of the U.S. dollar, which has fallen steadily since February 1985. There has been a very recent halt to the fall of the dollar, and even a reversal against key currencies in Europe and Japan. The ameliorative results of the long dollar depreciation have been disappointing, but now we are beginning to see some effects on export expansion for the United States, and some degree of import restraint. Were it not for the lack of an effective energy policy in the United States, we might be experiencing a better turnaround in the trade deficit, but some progress is being made on merchandise accounts. Worse performance is, however, being encountered in connection with the "invisibles" portion of the balance of payments.

In many respects, currency depreciation is used as a "crutch," except when it corrects for extensive speculation or distortion of values, but the basic change that should be pursued is an increase in productivity or, more generally, in economic efficiency. Both cyclical and long term improvements in productivity are, in fact, taking place. The process is slow, but there is noticeable improvement in United States export growth with some import restraint, apart from the energy issue mentioned above. American exports rose markedly in 1988; they are already on the way to

another good year in 1989, but growing at a much more moderate pace, on average, than during the last year.

Dollar depreciation and improved productivity contribute to stronger American competitiveness, and this is showing up in the merchandise balance improvement. These are formidable reasons why export-led growth can no longer be assured, with steady expansion through an easy target—the American market.

A dreaded solution to the persistent United States deficit is the implementation of protectionism. At the present time, I do not view protectionism as a viable alternative, but, of course, strong personalities can sometimes accomplish policy development that contradicts economic teaching or good international citizenship. Protectionist arguments keep reappearing. On an overall basis they have been defeated —which is no reason to remain complacent, for countries have sometimes implemented sudden changes against the dictates of common sense or good economics.

Another poor solution to the United States deficit on external accounts, to be avoided if possible, is to generate a recession. The main deficit reduction contribution comes from the side of imports rather than exports. A recession could go far in bringing about import contraction, but this would act perversely on exports of partner countries and stands as another strong reason for being pessimistic about increasing reliance on export-led growth.

The advent of the single market in Europe, as of January, 1993, is expected to have considerable influence on the export potential of Asian developing countries. It may very well be perverse, because Western European countries will focus on building up trade among themselves and limiting access to the large European market to outsiders, especially the growing countries of Asia and the Pacific area. If this situation develops into a severe trade war, it could have potentially devastating effects on the export aspirations of many developing countries.

Whatever route or combination of routes is followed by the United States (and other large deficit countries), the end result is going to be export restraint for many developing economies. Well established and well situated developing economies such as Taiwan and South Korea are taking some advance measures by looking hard for imports of U.S. merchandise. They send trade missions to the United States just to complete shopping lists. Both Taiwan and South Korea have agreed to permit some nonnegligible currency appreciation (NT$ and S. Korean won), and this will help reduce their trade surpluses with the United States. Their behavior is special, and other Asia–Pacific developing countries will probably not join the import effort.

This economic environment does not bode well for the reliance on export-led growth, as it has successfully taken place for such economies as Japan, Taiwan, South Korea, Hong Kong, and Singapore over the past two or three decades. Exploitation of the export-led route has already taken place on a large scale, and it may be too late for significant, new achievements along this line. When we add consideration of the obstacles—United States competitiveness in productivity, U.S. dollar depreciation, wage restraints, possible recessions, protectionism, and the formation of trading blocks in Western Europe and North America—we see reasons to suggest pursuit of other objectives for growth.

If export-led growth is not a viable policy for new countries to enter the take-off phase of growth, what alternatives exist? First, for Asia–Pacific developing countries, one possible line of reaction (not necessarily an optimal policy choice), is for the countries of the Asia–Pacific area to form a new trading bloc. This could be a customs union, a currency union, or even some more comprehensive union—much along the lines of the single market for Europe after January 1, 1993.

If the Common Market (European Economic Community, EEC) has worked well, for the benefit of European countries, why should not an Asian–Pacific market work well for the countries in the area? There are, of course, differences in culture, resources, trading patterns, strategic position, and many other special features of each region, yet it is a fair question. Theoretical economists are far from being agreed that customs and currency unions are supportive of economic welfare, but practitioners and policy makers are broadly enthusiastic in Europe that the EEC and EMS (European Monetary System) are beneficial. They are looking forward, with great anticipation, to the single market, in expectation of additional benefits from uniformity, standardization, expansion of scale for marketing and production, and flexibility of free capital flows.

In addition, the United States and Canada have voted for a free trade zone in North America. A plausible response in the Far East is for the formation of an analogous body. This could lead to more intraregional trade and break some of the barriers to export-led growth that have already been cited above, or to replacement of export trade that may be lost to the European and North American unions.

It is quite possible that intratrade will be expanded among the countries within the EEC and between the two countries in the North American pact. This could be at the expense of exports by Asia–Pacific countries and constitute another reason why export-led growth could become more difficult to attain in the future. If a union does increase intratrade, and if the amounts are quite large, it makes sense to think about a third trading zone. An Asia–Pacific Common Market has been talked about for many years, but abruptly dismissed. Some trading zones have not been very effective: CMEA, LAFTA, and possibly EFTA. Now opinion is changing, and more and more attention is being paid to the formation of a third zone in the Pacific Basin, encompassing both the industrial countries (Japan, Australia, New Zealand) and the developing countries. This could affect the take-off potential of the Philippines, Thailand, Malaysia, Indonesia, and other countries that would like to capture some of the gains of the "new Japans."

In the past, I have argued that there is much complementarity and economic cohesion in the Pacific Basin; therefore, a formal union makes sense. It is not certain, however, that it would be beneficial. A principal danger is that trade relations would degenerate into competitive protection among the three large zones: Europe, North America, and Asia–Pacific.

A second policy line would be to encourage more South–South trade. If we assume the developing countries will find increasing resistance for their exports in advanced industrial countries—not just in the United States—then the possibility remains that developing countries could trade more among themselves. This sugges-

tion has only limited potential because developing countries (South) have relatively weak hard currency resources for importing, and the exporting countries mainly want hard currency earnings with which to buy sophisticated imports on the world market. There are many possibilities for gainful exchange, and some modest expansion of trade could be realized from South–South trade, especially if some forms of concessionary financing could be arranged, either through multilateral agencies or industrial countries that want to help the Third World. There must be self-help to the fullest extent possible, but if there is good will on the part of the developing countries, there should be good will also on the part of the industrial countries.

A similar opportunity exists for increased trade between aspiring developing countries on the one hand and centrally planned economies on the other. It had appeared that the Soviet Union, its allied countries in Eastern Europe, and China wanted increased trade and other commercial relations with whatever countries could help in their restructuring. To a limited extent, developing countries could provide some of the goods that are wanted for restructuring, although the United States and other advanced industrial countries are the principal targets for increased international economic relationships with centrally planned economies (CPEs). It had appeared, until recently, that there was enormous room for expansion of trade with China in both South Korea and Taiwan. Now that whole concept is being reevaluated. There will also be increased ties of the USSR and its allied nations with South Korea. There could be some indirect trade with Taiwan, but that potential is probably small in comparison with trade between the USSR and South Korea.

China provides a large market for itself. There may well be a tendency for more self-reliance again in economic affairs, which could set back the full effects of restructuring by five to ten years. There is, however, no way to tell how the relationships can be repaired and resumed after the disturbances of May and June, 1989.

South Korea, Taiwan, and Hong Kong were all using the China trade in different ways, but the potential size and benefits were large. This could have been a buffer for trade that may be lost with the EEC. Eventually, other developing countries of the Asia–Pacific region could have been brought into the relationship as well, but this source of development will have to wait. Trade with the USSR is still possible, and that with the United States will continue to be prevalent, but the rate of improvement is likely to suffer.

In time, China and the U.S.S.R. will have to be major sources of supply for their own people. The same is true, to a certain extent, about the average household in other Asia–Pacific countries. Production for self should prove easy to manage; it is mainly a question of getting started in a corruption-free environment.

SOME STATISTICAL TENDENCIES AND TRENDS

A brief survey of some leading trade statistics for countries that have achieved, or aspire to achieve, strong export-led growth shows how recent trends support, or question the strength of this engine of economic growth (Table 1).

TABLE 1. Trade Statistics of Selected Countries

	South Korea[a]							
	1981	*1982*	*1983*	*1984*	*1985*	*1986*	*1987*	*1988*
Exports ($bn)	21.3	21.8	24.5	29.3	30.3	34.8	47.3	61.2
Imports ($bn)	26.2	24.2	26.2	30.6	31.1	31.7	41.0	51.4
Exports to								
USA	5.7	6.3	8.3	10.5	10.8	13.9	18.4	21.5
Japan	3.5	3.4	3.4	4.6	4.5	5.4	8.4	12.0
EEC	2.8	2.9	3.1	3.3	3.3	4.3	6.6	8.1
OPEC	2.7	2.4	2.8	2.0	2.0	1.8	2.1	2.8
Other LDC	4.1	4.3	4.4	6.1	6.3	5.9	7.7	11.2

[a]Exports to the United States and Japanese markets have been predominant, but expansion in EEC exports has also been a factor in Korean growth. Korea imports mostly from Japan; the United States is the second largest import source. Exports to CMEA and PRC remain as potential areas of expansion.
Source: *Directions of Trade Statistics (DOT)*

	Hong Kong[b]							
	1981	*1982*	*1983*	*1984*	*1985*	*1986*	*1987*	*1988*
Exports ($bn)	21.8	20.9	21.9	28.3	30.2	35.4	48.5	63.2
Imports ($bn)	24.8	23.4	24.0	28.6	29.7	35.4	48.5	63.9
Exports to								
USA	6.1	6.0	7.1	9.4	9.3	11.1	13.5	15.7
Japan	1.0	0.9	1.0	1.3	1.3	1.7	2.5	3.7
EEC	4.1	3.7	3.6	4.1	3.7	5.1	7.7	9.9
OPEC	2.1	1.9	1.5	1.3	1.0	1.1	1.3	1.5
Other LDC	6.0	6.3	6.9	10.0	12.5	13.7	19.9	28.1

[b]Export growth has been similar to Korea's, but the shift froim deficit (1981–1985) to surplus was less dramatic. The United States is the main export target, but the EEC is ahead of Japan. The large expansion of exports to non-OPEC LDCs is dominated by the rapid expansion of China trade. Imports from China are also large and growing (through 1988). A large import source is Japan, then EEC.
Source: *DOT*

	Singapore[c]							
	1981	*1982*	*1983*	*1984*	*1985*	*1986*	*1987*	*1988*
Exports ($bn)	21.0	20.8	21.8	24.1	22.8	22.5	28.7	39.3
Imports ($bn)	27.6	28.2	28.2	28.7	26.2	25.5	32.6	43.9
Exports to								
USA	2.8	2.6	4.0	4.8	4.8	5.3	7.0	9.4
Japan	2.1	2.3	2.0	2.3	2.1	1.9	2.6	3.4
EEC	2.3	2.0	2.1	2.4	2.4	2.5	3.5	5.1
OPEC	1.5	1.4	1.3	1.5	1.2	1.0	0.7	0.9
Other LDC	10.4	10.9	11.1	11.4	10.7	10.5	13.3	18.3

[c]On merchandise accounts, a deficit persists. The United States remains the largest single target, but there is heavy trade with non-OPEC developing countries, although this category just started to grow. Japan is the largest import source, and the United States is second.
Source: *DOT*

	Thailand[d]							
	1981	*1982*	*1983*	*1984*	*1985*	*1986*	*1987*	*1988*
Exports ($bn)	7.0	6.9	6.4	7.4	7.1	8.9	11.6	16.0
Imports ($bn)	10.0	8.5	10.3	10.4	9.3	9.2	13.0	16.3
Exports to								
USA	0.9	0.9	1.0	1.3	1.4	1.6	2.2	3.2
Japan	1.0	1.0	1.0	1.0	1.0	1.3	1.7	2.5
EEC	1.5	1.6	1.4	1.5	1.4	1.9	2.6	3.3
OPEC	0.8	0.7	0.7	0.6	0.5	0.5	0.8	0.9
Other LDC	2.1	2.4	2.0	2.6	2.5	3.0	3.6	4.9

[d]A possible take-off economy of South Asia, and less oriented towards exporting to United States or Japan. Both EEC and non-OPEC LDCs are large import sources. Is in a long-term, merchandise deficit position, and has not yet shown large export expansion of the "new Japans."
Source: *DOT*

	Brazil[e]							
	1981	*1982*	*1983*	*1984*	*1985*	*1986*	*1987*	*1988*
Exports ($bn)	23.3	20.2	21.9	27.0	25.6	22.4	26.6	33.8
Imports ($bn)	24.1	21.1	16.8	15.2	14.3	15.6	16.6	16.0
Exports to								
USA	4.1	4.1	5.1	7.7	7.0	6.3	7.3	8.7
Japan	1.2	1.3	1.4	1.5	1.4	1.5	1.7	2.3
Germany	1.3	1.2	1.1	1.3	1.3	1.1	1.2	1.4
EEC	6.4	5.9	6.3	6.8	6.9	5.9	6.9	9.3
OPEC	2.4	1.8	1.9	2.3	2.5	1.7	1.9	2.0
Other LDC	7.1	5.3	5.0	6.4	5.7	5.2	6.2	8.2

[e]Debt burdens are obvious. Imports restrained after 1982 and large surplus maintained for debt servicing. Exports spread among many targets with Germany being quite large. There are strong ties to other developing countries. The United States is the largest import source but imports are spread evenly among EEC, OPEC, and other LCDs.
Source: *DOT*

	Turkey[f]							
	1981	*1982*	*1983*	*1984*	*1985*	*1986*	*1987*	*1988*
Exports ($bn)	4.7	5.7	5.7	7.1	8.0	7.5	10.2	10.1
Imports ($bn)	8.9	8.8	9.2	10.7	11.3	11.0	14.0	11.3
Exports to								
USA	0.3	0.3	0.2	0.4	0.5	0.5	0.7	0.6
Germany	0.6	0.7	0.8	1.3	1.4	1.4	2.2	1.6
EEC	1.6	1.8	2.1	2.8	3.2	3.3	4.9	3.8
OPEC	1.5	2.3	2.2	2.5	2.9	2.0	2.4	3.1
Other LDC	0.7	0.9	0.7	0.8	0.8	1.1	1.2	1.7

[f]Germany and EEC are the main export targets. Imports come in large amounts from EEC and OPEC. There is a chronic merchandise deficit. Would like to join EEC, but is excluded.
Source: *DOT*

TABLE 2. Percentage Growth Rates of Merchandise Exports and Imports 1980–1988, in Local Currency Units

	Current prices		*1985 Prices*	
	Exports	*Imports*	*Exports*	*Imports*
Taiwan[a]				
1980	23.0	33.5	10.6	8.9
1981	16.4	9.4	9.7	−0.9
1982	4.2	−5.5	3.0	−14.8
1983	16.3	10.6	19.0	12.7
1984	19.8	7.0	15.6	4.2
1985	1.5	−7.9	5.4	−7.2
1986	23.0	14.3	25.3	28.4
1987	13.2	21.5	14.7	32.0
1988	1.5	29.6	1.6	26.2
South Korea[a]				
1980	45.9	37.6	11.3	−8.9
1981	36.1	31.4	17.7	11.2
1982	10.4	−0.4	6.4	0.2
1983	18.7	14.6	16.3	13.3
1984	24.3	21.5	15.6	15.5
1985	11.8	9.7	7.6	6.2
1986	16.1	2.8	12.3	8.1
1987	27.1	21.2	23.7	20.9
1988	14.2	12.3	13.0	14.3
Hong Kong[b]				
1980	29.4	30.1	11.1	20.5
1981	24.3	23.9	9.0	11.0
1982	4.3	3.3	−1.8	−1.8
1983	26.2	22.8	13.1	9.2
1984	37.8	27.3	17.4	14.3
1985	6.2	3.6	−4.9	7.4
1986	17.6	19.2	33.3	12.3
1987	36.7	37.0	32.8	32.3
1988	30.4	32.2	25.5	26.7
Singapore[a]				
1980	34.0	30.5	8.7	11.7
1981	6.9	13.4	3.0	11.7
1982	0.4	3.4	3.6	8.2
1983	3.8	−1.2	8.9	1.4
1984	11.2	2.7	15.8	3.5
1985	−2.3	−5.4	−0.3	−2.8
1986	−2.4	−3.9	13.5	8.8
1987	23.0	23.2	19.1	13.9
1988	31.2	29.0	33.0	28.2

Sources:
[a]Project LINK.
[b]U.N. *Monthly Bulletin of Statistics* (1980 base).

AN OVERVIEW OF TRADE PATTERNS FOR THE "NEW JAPANS"

How are these tabulations to be interpreted? From an overview of the "new Japans," these tabulations may be interpreted in a broader framework. It is instructive to look at the end results in trends of total merchandise trade for the economies that have been most successful in building on a structure of export-led growth, very much along the lines of Japan's demonstrated achievements. The main figures are in Table 2.

According to these data, the economies being considered have had very impressive growth rates of exports and imports. The former grew and provided purchasing power in foreign exchange. The earnings from exports were used, together with other sources, to finance imports which served as inputs for overall economic growth. Imports grew at high rates in real and nominal terms. There were occasional bad years in this period, but setbacks were always overcome.

The currencies of these countries did not appreciate immediately against the U.S. dollar and other major currencies in the period since 1985, when the dollar fell significantly, but the NT dollar and the Korean won did start to rise in value on a modest scale in 1987, and continued to strengthen in 1988–1989. By 1987 and 1988, some competitive inroads against these four countries' exports are discernible.

Taiwan experienced a marked decline in export expansion in 1985, recovered very strongly in 1986, and then experienced lower rates of expansion in the period of greatest appreciation of their own currency (NT$). Taiwan is still a formidable competitor, but is finding it harder to maintain a fast pace of export growth in the present competitive environment.

South Korea's trade also slowed in 1985, but improved in both 1986 and 1987. The won was slower in appreciating, and large wage increases took place only recently. The 1988 figures show significant declines in the pace of export growth (Table 2).

Hong Kong had its bad year in 1985, but remained competitive in 1986, 1987, and 1988. There is slight evidence of a slowing in 1988, but the change is not very large. Hong Kong's future is, however, tied to China's, and the trade prospects because of this connection are presently unclear. Until the disturbances of 1989, Chinese worldwide activity via Hong Kong had increased very much, and the future of that line of development will be crucial for Hong Kong's continuation along the path of export-led development.

Singapore had recessionary effects in 1985 and 1986, but recovered nicely; there is, as yet, no indication of a new slowing in export growth. Both Singapore and Hong Kong are strong actors in the world trade for financial services. They can rely more on this kind of export-led activity, as a compensation for any future deterioration of merchandise export trade.

There is no economic reason to lose confidence in the ability of the "new Japans" to continue to develop vigorously as key players in the Asia–Pacific challenge, but the overall impression to be gained from these summary tabulations is

that the export-led path is becoming more and more difficult to follow as a main source of growth potential.

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